Development economics

Development economics is the study of how the economies of poor countries function, and how they might become richer. Some economists question whether there are really fundamental differences in the economic laws governing poor and rich countries, but others believe the problems facing poor countries are so specific that special theories are required. An early idea was that poor economies needed a ‘big push’. A new port might only help trade if a road was built, but for the road to be worthwhile it would have to lead somewhere like a port. This circularity could only be broken if the state coordinated a range of simultaneous and complementary investments – something private markets would be unable to do. By the 1970s, this view began to fall out of favour – economists argued that too much state and not enough market hobbled developing economies. In the 1980s, the World Bank and International Monetary Fund brought in free market reforms. These, too, had patchy results, and attention has now turned to the challenge of encouraging states to function better.